# HA 4 sem. Lecture 6.
# Sourcing in resources for new venture creation
# Focus on two resources: Creativity, Finance.

Jesper Lindgaard Christensen
jlc@business.aau.dk

BUSINESS SCHOOL
AALBORG UNIVERSITY

# Today: sourcing resources for nvc

- Creativity – need, triggers, barriers
- Funding – sources, basic problems, implications for entrepreneurs
- Exercise related to lectures 2, 4, on characteristics of entrepreneurs, entrepreneurial processes etc.
- Textbook chapters 3+12+paper are primary readings

# Textbook on Insourcing resources/ideas:

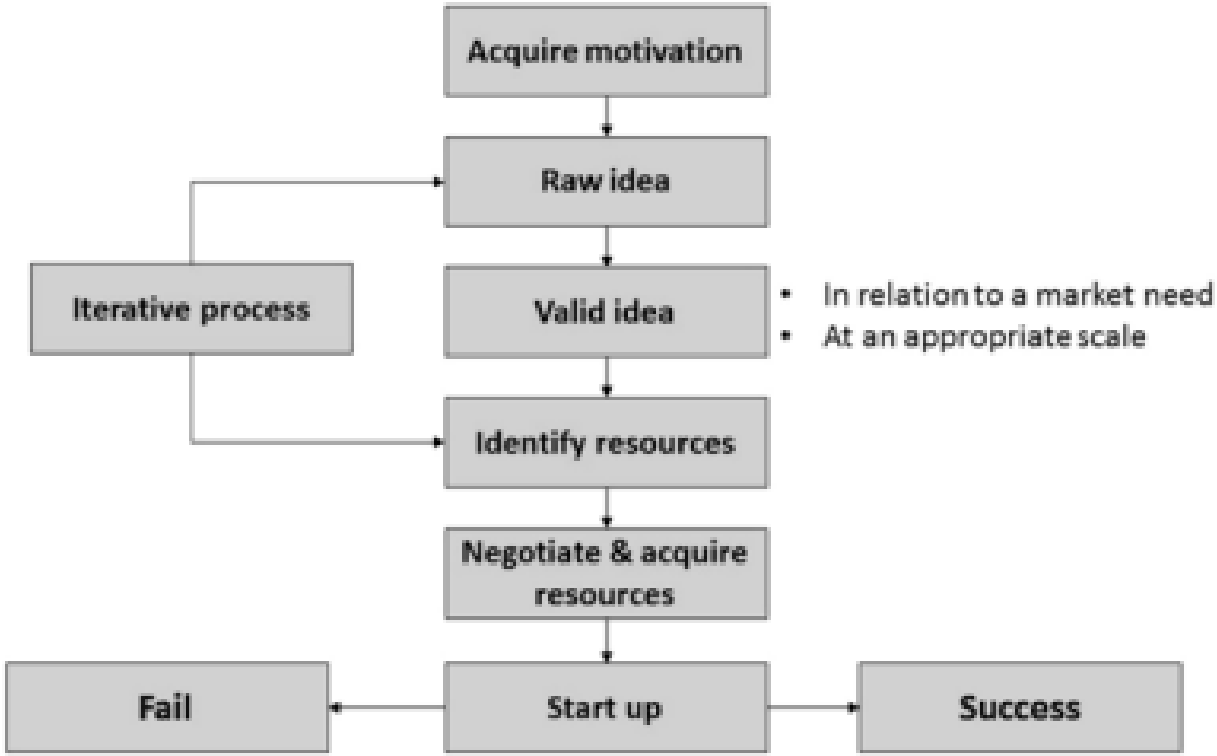



**Fig. 3.3** A new venture start-up process model

# Why do we need creativity?

- Necessary! – changes in business and work conditions.
- **'The world of business is now in a permanent state of flux where constant innovation is the only strategy for both the individual and the organisation' (Peters, 1997)**
- **The only certainty is uncertainty; the only constant is change. Accentuated now**
- **What to do, then? Prepare for the unknown? How? A fundamental (management) question.**
- **Cope with flux: '..developing human resources to develop the intelligence, knowledge and creative potential at every level of the organisation, ..promoting creativity, learning and innovation..' (Morgan, 1991)**

# Further on the need for creativity – a bit of hard evidence

- ***World Economic Forum asked 1.000 HR-managers what they look for in the future work force. Top3-priorities:***

- Critical thinking
- **Creativity**
- Complex problem-solving

**'Overall, our respondents anticipate that a wide range of occupations will require a higher degree of cognitive abilities—such as creativity, logical reasoning and problem sensitivity—as part of their core skill set'**

*(source: WEF, The Future of Jobs. Employment, Skills and Workforce Strategy for the Fourth Industrial Revolution p.24).*

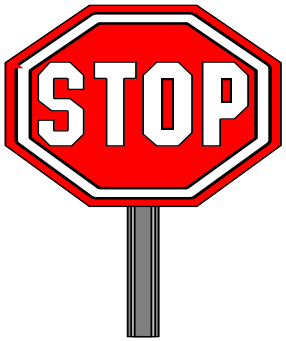
# Moreover, re triggers and barriers for nvc – creativity top-ranked

- *Textbook (section 3.7.2) point to 6 key triggers and 3 barriers to new venture creation:*

- Triggers:
- **Creativity**, autonomy, money, market opportunity, investment, status.

- Barriers:
- Risk/uncertainty/fear of failure
- Lack of resources (skills, information, finance)
- Costs (regulations, lack of advice, expenses, )

- Time pressures (?) trigger or barrier? Amabile et al.2002:
  Depends on how people are managed and focused (cf. Fig. 3.7, and later..)




”Analysis of these nine factors found that the most important for both nascent and novice entrepreneurs was **creativity**.” (Textbook p.76) (‘Money’ listed second cf. later)

Enhancing  creative efficiency

Given the importance of creativity, every organisation must be interested in spurring c.

Individual factors and organisational factors

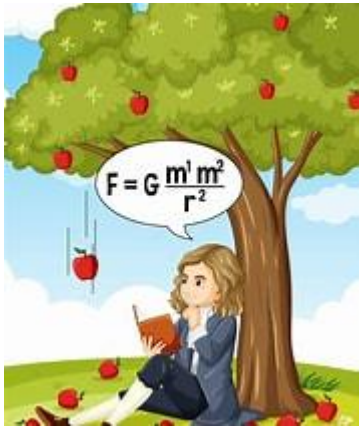
What then, is the origin of creativity?
In individuals (?) Or also organisations?

Basically: Vertikal vs. Lateral thinking (de Bono, 1990)

- ‘In the process of lateral thinking it is not necessary to be right at every step, and the process permits a delay in judgement to allow the interaction of ideas to occur.’ ….’it happens quite often that impractical, or even ridiculous, ideas trigger the imagination of a group and stimulate them towards developming remarkable solutions’.

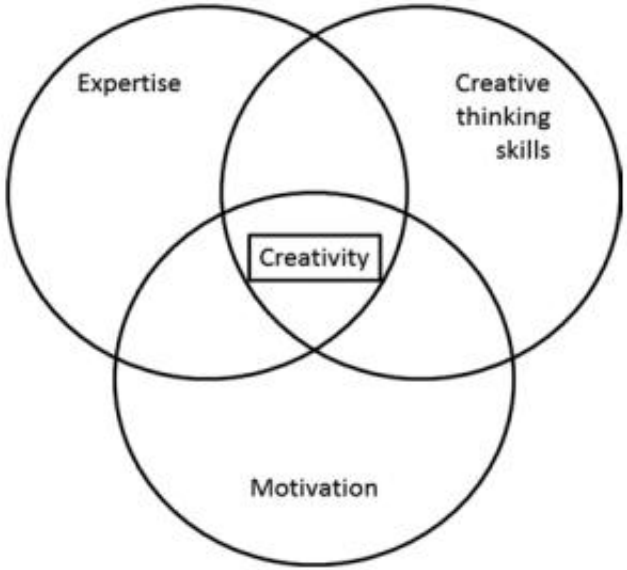
- (serendipity vs. deliberately searching…) (broadly: basic – applied science)

- Examples of lateral (horizontal) thinking:
  - Ford – studied processing cows in Chicago, applied it to car manufacturing
  - Velcro – seeds attached to dog
  - ABS brakes for cars, from aircrafts



## On individual factors

- Personality
- Age
- Qualification
- Intelligence
- Motivation
- Stress
- Willingness to take risks




***Individual*** factors – the social psychology of creativity (**Amabile**, 1988, 1996, 1998):

Three origins of creativity =

1. task motivation – intrinsic motivation like passion vs. extrinsic like rewards, work environment
2. domain-relevant skills (expertise) – intellectual space of individuals: their factual knowledge, tech skills, knowledge of the domain, education
3. creativity relevant skills – personality and cognitive style, age, work style

# Organising creative efficiency – firms/org.

Organizational, structural/inst. factors. Management issue.

**"The process of entrepreneurship and innovation is more than just having a good idea; it is about understanding and managing the creative thinking process that generates ideas, and the tenacity to see an idea through to implementation" (textbook, p.77).**

**However, management issue = Balancing productivity, 'ordinary' business activities, and unleashing creative potentials** (p.79)

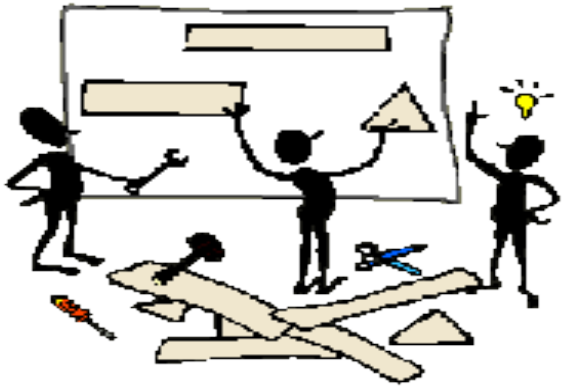
- Hierarchy/flattening organisations, matching people and teams
- Autonomy, delegation
- Management style, including tolerance and value of failures
- Information, communication, encouragement
- Working environment and time allocation ('skunk work')
  - **"People should be allowed to spend time on their special 'pet projects' that can lead to new innovation" (textbook, p.83) (3M, Google,,)**
- Uniformity of procedures / diversity. Different thinking styles

- All linked to **motivation** (again: intrinsic/extrinsic)

# Born/made (again) – can creativity be learned/trained/enhanced?

# Successful idea generation in groups (or management teams)

- 3 – 8 members from different areas
- Social homogeneity of the group
- Coordinator (not necessarily the manager)
- Informal and pleasant atmosphere
- Mixed group (men and women)
- Meetings should not be too long or too frequent
- Clear tasks with clear definitions of roles
- Discussion: always objective, open
- Criticism should be open and objective



# Different techniques – ex.:brainstorming

**Four principles**

- Any kind of criticism is strictly forbidden!
- There are no limits to imagination.
- Quantity comes before quality.
- Take up the ideas of others and develop them.

- Other techniques – Creative Solving Process model (p.84), Simplex,,,

- Many of which you more or less implicitly practice at AAU, PBL

## Another key ressource: takes money to kick off new ventures

- **Textbook (p.64) comments on creativity and finance:**

- **"…a good idea does not necessarily make a good opportunity, with around 10% of ideas presented to investors meriting due diligence and (between) 1% and 2% attracting funding"**

# The relevance of finance for new venture creation (and societal needs funding)

- **Micro-level: Covid-19 crisis accentuated this problem area:**
  - **Increased uncertainty and financial constraints**
  - **Massive state aid programs alleviated pressures on business defaults – (pros/cons)**
- **Macro-level: Societal challenges. E.g. climate change challenges require mobilizing consireably amounts of (public and private) financial capital for investments into green transitions (UNEP, 2024, 2025)**
- **Fluctuations – business uncertainty and –cycles.**
  - **Ukraine-Russia crisis – impact financial markets, product markets, supply chains**
  - **New interest rates/inflation regime in the world economy**
  - **Trade barriers / tariffs**
  - **Supply security a more pertinent concern**

- **The diagnosis – what are really the problem(s)?**

**”Investment will follow good opportunities and entrepreneurial teams. There is a shortage of good entrepreneurs and opportunities, not a shortage of funds” (Textbook p.65)**

**True? Or are some firms more or less constrained?**

# Fundamental problems in financing e&i

- **1. Firm/entrepreneur characteristics**
- **2. Attitudes/demand side constraints**
- **3. Information deficiencies**
- **4. The context**

# Basic problems in financing – 1.Firm characteristics

- **Who – which types of firms - are primarily financing constrained?**

# Fundamental problems in financing
# 2. Attitudes, demand side constraints

- **Demand side deficiency re knowledge of financing possibilities - supply side lack of mediation between sources**
- **Entrepreneurs unwilling to part with influence**
- **Differences in culture/logic**
- **Discouraged borrowers – not even entering**
- **Lack of skills, e.g. in drafting and presenting the business plan, and in managing rapid growth, that is, 'Investment readiness' – gov. programs**

# Fundamental problems in financing - a theory ?

- **What would you suggest in terms of a theory of financial constraints?**

# 3. Information deficiencies - Asymmetric information in… (Akerlof, 1970, Stiglitz & Weiss, 1981, Myers & Majluf, 1984,,,,)

- **1. – in distinguishing between good and bad borrowers. The entrepreneur is likely to know more than the lender**
- **2. – in what risk the entrepreneur will take ex post investment decision (the nature of the loan contract). (Moral hazard)**
- **3. – On the actual outcome of the project (costly state verification)**
- **ADVERSE SELECTION (lemons)**
  - ***How to reduce asymmetric information?***

# Implications: Criteria when assessing a proposal

***Credit scoring literature and -practise***
***Banks will consider:***

- **The individual.**
- **The idea.**
- **Credit history/cash flows**
- **The business plan.**
- **The finance requirements.**
- **Collateral.**

- **- but different emphasis according to the type of financier (Mason and Stark, 2004)**

# Financing and criteria – adjust BP to the receiver

- **bankers' funding decisions will be dominated by financial considerations and they will give relatively little consideration to entrepreneurial capabilities or the characteristics of the opportunity**

- **VCFMs will also be concerned with financial issues but in addition will give considerable emphasis to the entrepreneurial team and market characteristics**

- **'the approach of BAs will be closer to that of VCFMs than to bankers because they are investing for capital gain' and BAs will place greater emphasis than VCFMs on the entrepreneur/entrepreneurial team' and BAs will give greater emphasis to the "fit" of the business to their own personal investment criteria**

- ***Mason & Stark, 2004, What do Investors Look for in a Business Plan? International Small Business Journal, vol. 22 no. 3 227-248***

# Two decades later – Latifi et al. (2024):

**Business plans are generally important to financiers, but research indicates it is especially the case for equity financiers**

**The trend is that founders seeking funding write business plans, but increasingly funders value other (supplementary) assessment mechanisms.**

- **Book title: 'Burn your Business Plan' (Gumpert)**

**A social norm to write BP. Entrepreneurs adjust slowly compared to funders, and comply with <u>expected</u> requirements from financiers (aligned with Karlsson and Honig)**

**Still, information is needed: the team characteristics; innovation; market characteristics; business model; exit perspectives. But it is questioned if BP is needed for conveying such information**

# 4. The context:

- **Active state intervention**
- **Some markets are 'winner-take-all markets' (Block et al., 2018). Means higher amounts needed and more importance to non-financial resources**
- **Generally the knowledge-based economy changes financing options. E.g. patents traded and therefore can work as collateral**
- **Financial crisis (generally: business cycles, uncertainty)**
- **Technologies render new financing options and changes existing financiers functioning ('FinTech')**
- (Manigart and Khosravi, 2023, p.12)**: 'whether there is an underinvestment problem is a difficult question; it strongly depends on the context..'**

# Financing sources – who is out there?

## New developments in the entrepreneurial finance discipline

**Complex problem area and currently new players and sources enter the scene**

**(Manigart and Khosravi, 2023)**

**”Overall, the emergence of new players and their variety of investment goals and investment approaches has made entrepreneurial financing a complex and difficult process”**

**(Block et al., 2018, p.241)**

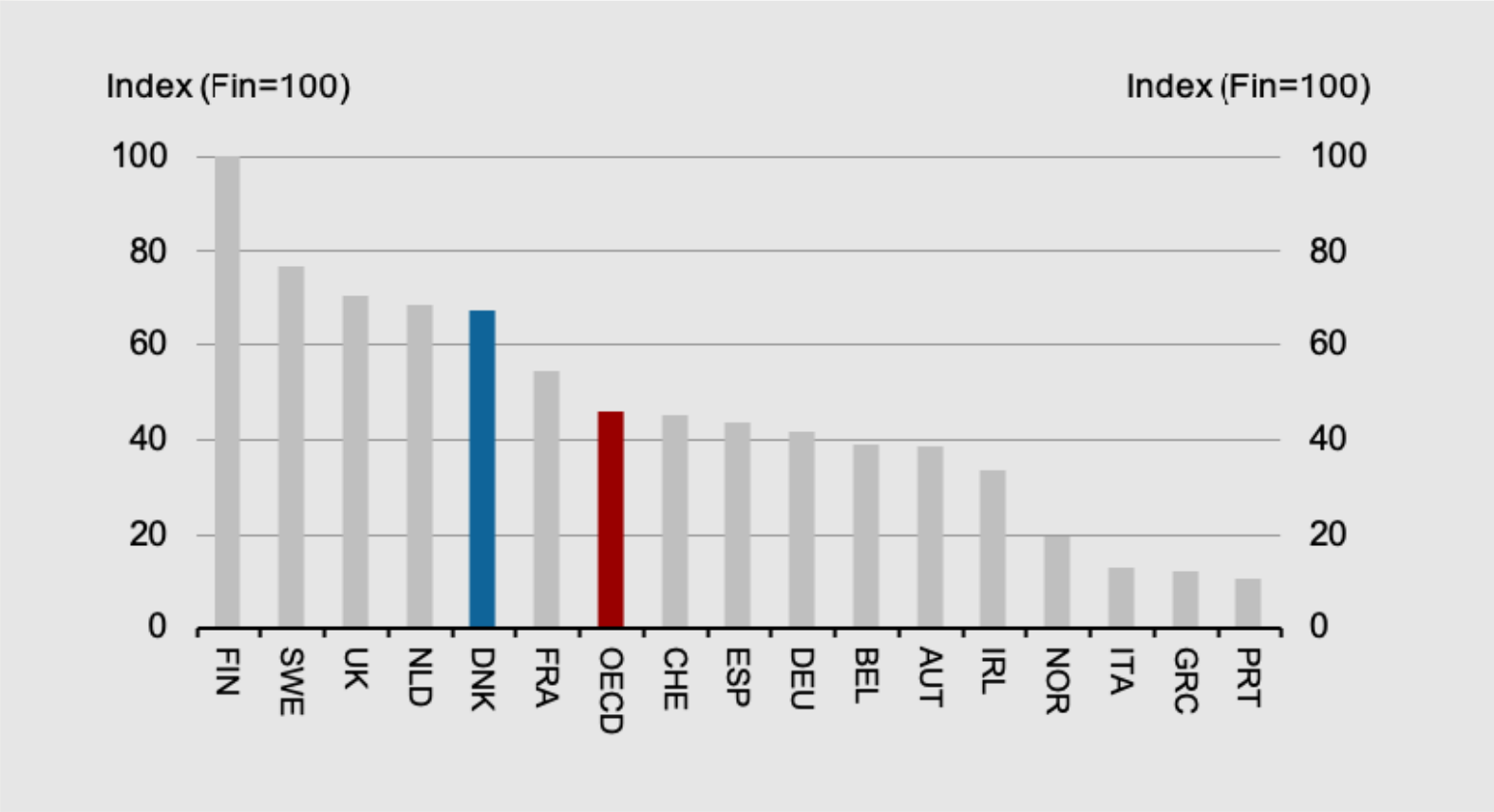
## Some selected, e&i. relevant, sources: **Venture capital**
## (see also **Manigart and Khosravi, 2023**)

- **Defined by**
  - **Active involvement**
  - **Competences in addition to capital**
  - **Early stages in small, new firms (?) with high growth potential**
  - **Innovation**
  - **Patient money**
  - **The business model – management of a fund**
  - **Specialized – particularly good at revealing asymmetric information and avoid moral hazard.**

- **How is Denmark faring in VC?**

# • International comparison of VC

- **Venture investments weighted by GDP, average for 2020-2022**



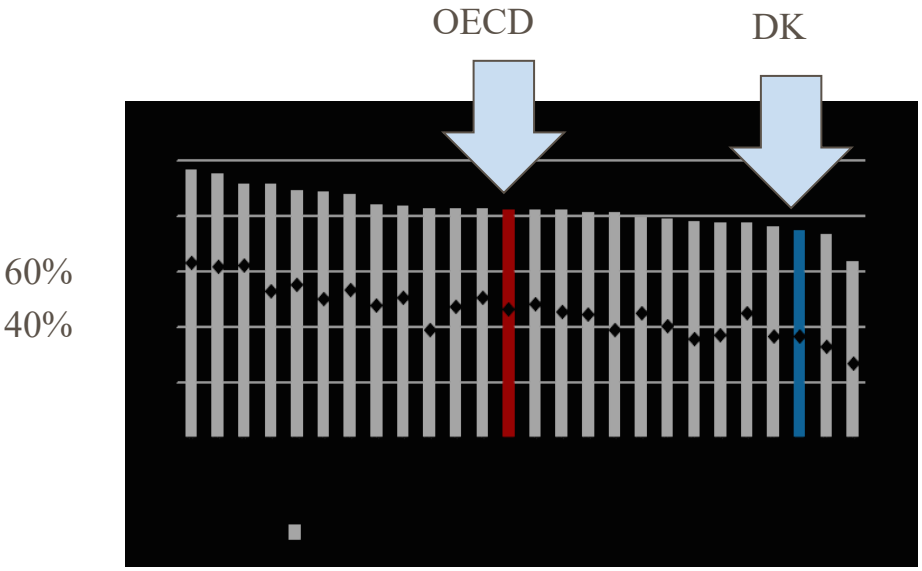

**Source: Erhvervsministeriet, 2023.**

## Venture capital – relevant to entrepreneurs?

- **Is it likely to get?**

# Investments by vc: The investment targets?

- **Innovative (=?)**
- **Scaleable**
- **Growth-oriented firms.**
- **Entrepreneurs ???**




Survival rates. Bar = 1year, dot = 5 years

- **High failure rates => We are interested in a model of which firms survive and grow, hence allowing us to predict which firms will grow - possible?**

# Another type of Venture capital:
# ’Business angels’ = ?

**Definition (Mason) –**
**individuals who invest their own funds in:**

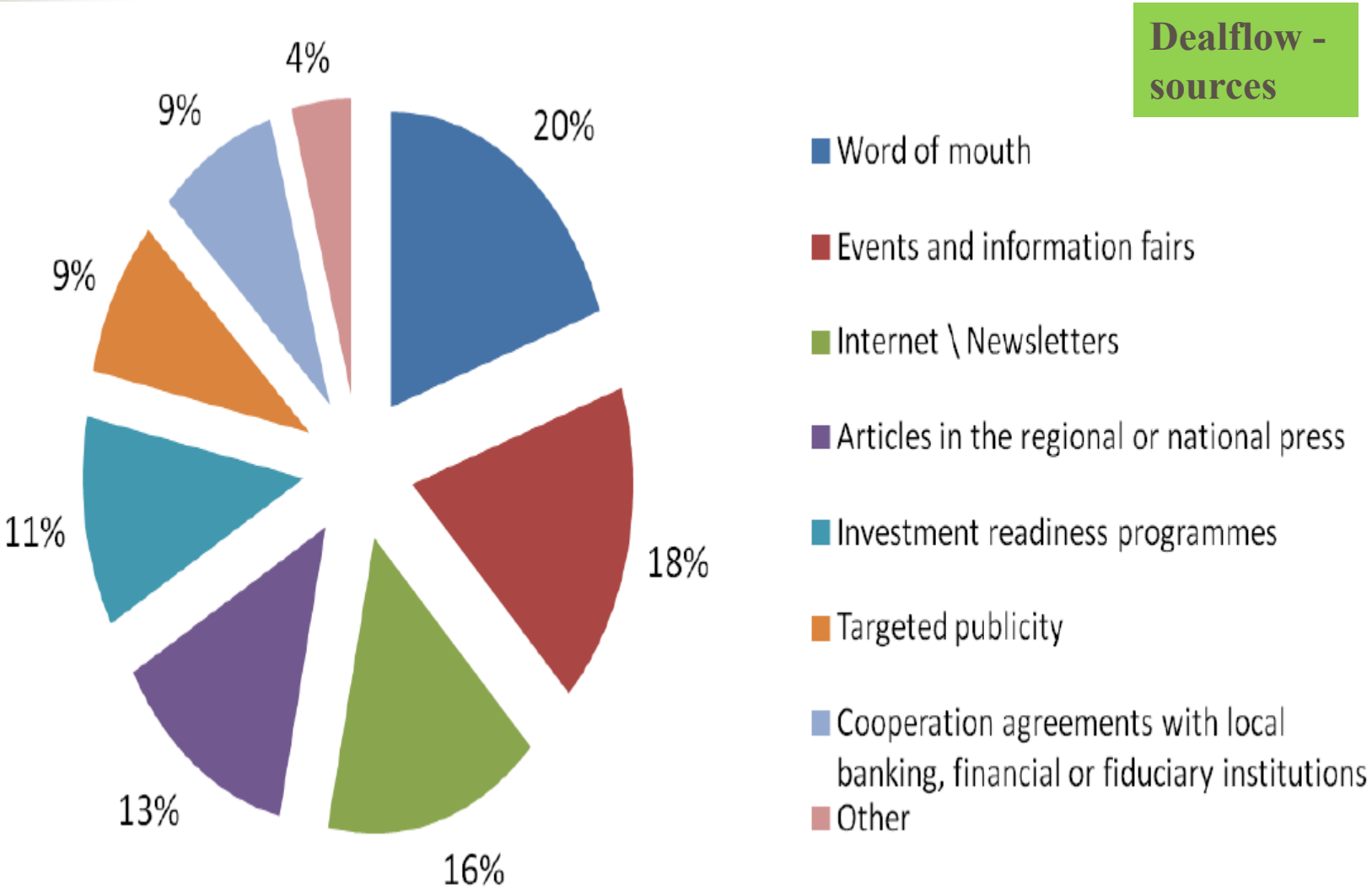
- **Start-up/early stage**
- **Relatively small amounts**
- **innovative investments**
- **Geografical proximity**
- **Competencies**

# *Main differences between business angels and formal venture capital.*

| | *Business angels* | *Formal venture capital* |
|---|---|---|
| **Personnel** | Entrepreneurs | Investors |
| **Firms funded** | Small, early stage | Large, mature |
| **Due diligence** | Minimal | Extensive |
| **Investment's location** | Of concern | Not important |
| **Contracts used** | Simple | Comprehensive |
| **Monitoring ex-post** | Active 'hands-on' | Strategic |
| **Exiting the firm** | Of lesser concern | Highly important |
| **Rates of return** | Of lesser concern | Highly important |

- **relay / complementarity**

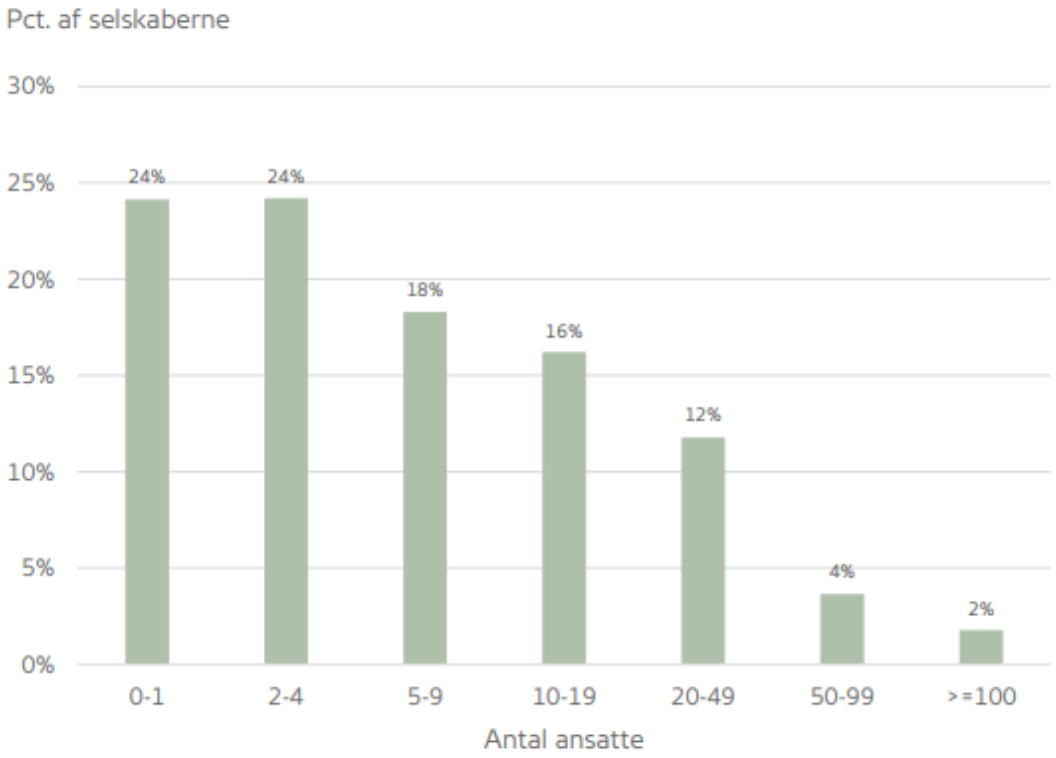
# Information sources (source: EBAN)



# Quantitative importance of business angels

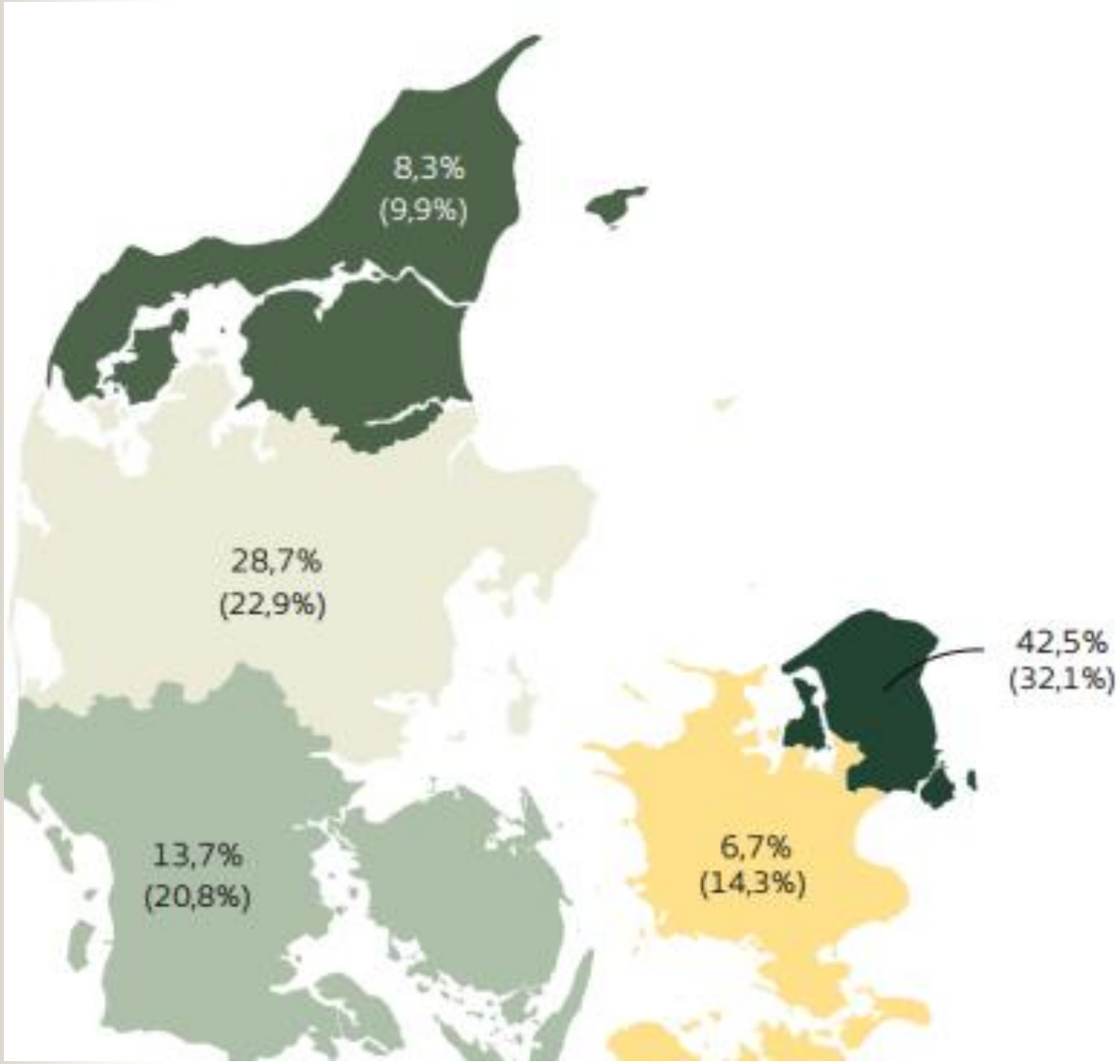
- **Difficult to survey with any accuracy**
- **Small samples**
- **International surveys: exceed formal venture capital many fold in terms of number of investments. - amount.**
- **Problems in interacting (and measuring that) in the absence of a market – 'market failure'. DBAN/public intervention?**

# Business angels target small firms. 2/3 have below 10 empl.




Source: EIFO, 2024: Business Angels i Danmark – status 2024

..and are geographically distributed roughly as Danish population (firms).






Source: EIFO, 2024: Business Angels i Danmark – status 2024

# Several new players, e.g. Crowdfunding

***Crowdfunding is a method for obtaining project funding, by soliciting contributions from a large group of people, and especially from an online community.***

**http://en.Wikipedia.Org/wiki/crowdfunding**

**Manigart and Khosravi, 2023:**

***'The emergence of crowdfunding as a digitalized fundraising method has disrupted the entrepreneurial finance ecosystem….'***

*4 types:*

***Donations-, reward-, lending(debt)-, or investments (equity)-***

# Crowdfunding – the idea?

Even small contributions from sufficiently many people can raise a lot of money.

Democratization of finance (Cummings et al., 2021)?
(Coop ran a crowdfunding platform)
(political parties from left to wright have positive attitudes to CF)
(In spite hereof – Denmark fares poorly in CF)

Efficiency: Using social media it is possible to reach a much broader audience in less time than traditional fundraising processes.

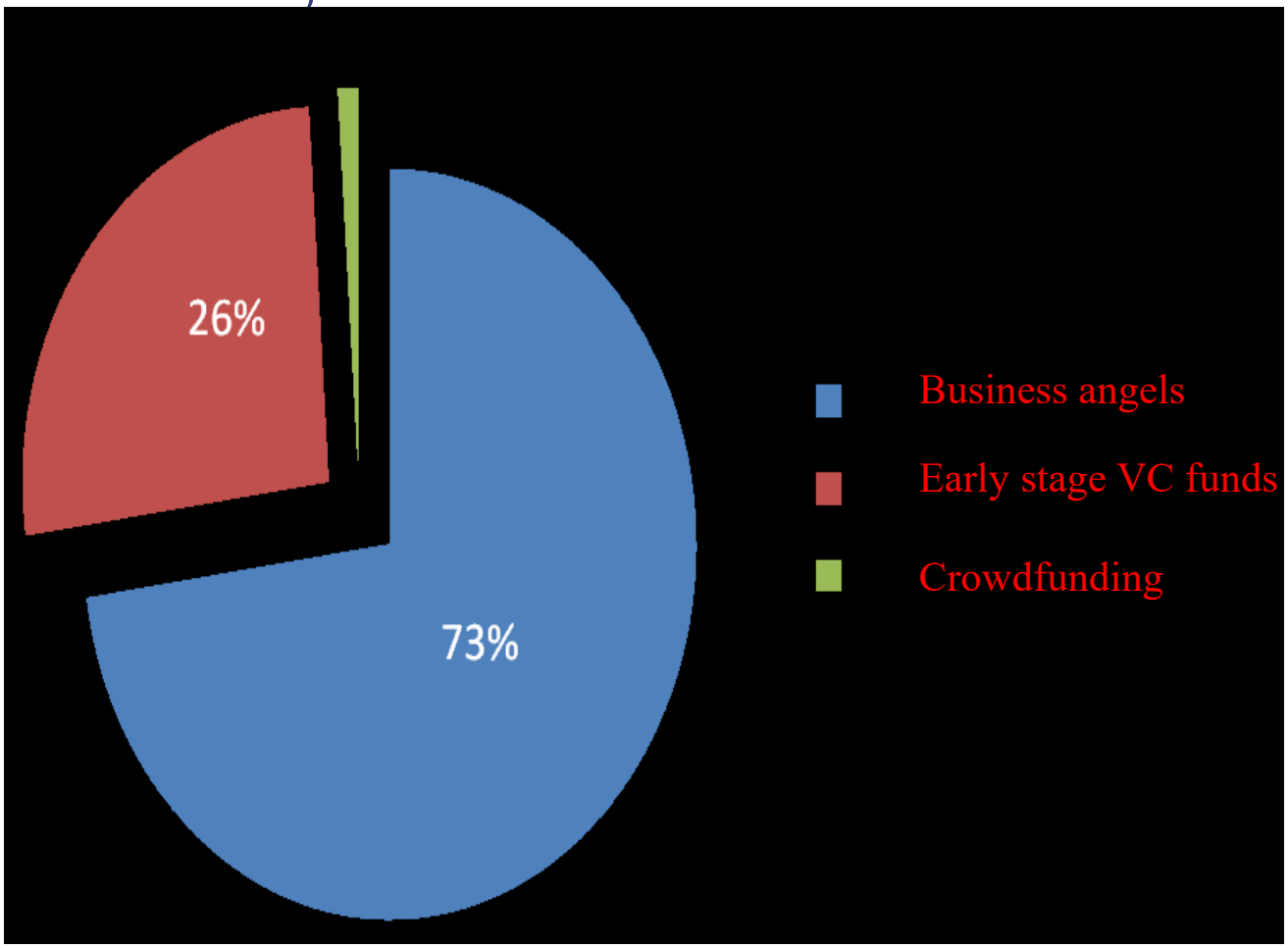
Example: Kickstarter. But now > 500 crowdfunding platforms. Specialize.

Spacehive
transform where you live
we fund
BANK OF FUTURE
SEEDRS
buzzbnk
Indiegogo
Funding Circle
KICKSTARTER
Peoplefund.it
crowdcube
ANGELSDEN
BANK OF FUTURE
CAPITAL CONNECTED
CoFunder
CrowdPatch
FireFlock
funding tree
GamCrowd
InvestingZone
MADISTON
LendEoanInvest
LANDBAY
LENDING WORKS
LendingCrowd

abundance
assetz
CAPITAL
Bloom
venture catalyst
buzzbnk
CLIFTON
Asset Management Plc
Crowdfunder.co.uk
crowdcube
Funding Empire
fundingknight
LendInvest
Funding Circle
marketinvoice
microgenius
the community shares platform
Platform Black
Rate%Setter
rebuildingsociety.com
SEEDRS
Spacehive
transform where you live
SYNDICATE ROOM
TinCats
Trillion Fund
YIMBY

# Impact – still a tiny proportion measured in volume, but number of investments!!

Source: EBAN.




Manigart and Khosravi, 2023: '..can crowdfunding substitute traditional financing sources? To what extent and under which circumstances?'

# Bootstrapping – ‘snørebånd’

- ”Behaviours directed at gaining access to external resources (finance) at no or minimum cost, while simultaneously minimizing the firm’s internal expenditures” (Kolyaka, 2021)

- or (textbook) – focus on internal sources.

personal savings, retained earnings, family, friends, fools (3Fs)

Important to entrepreneurs!!

‘..entrepreneurs use bootstrapping techniques proactively and not as a last resort in case of failing to attract external financing’ (Manigart and Khosravi, 2023)

# Some conclusions on entrepreneurial finance

- **Theory (entrepreneurial finance is different from corporate finance)**

- **Financial constraints linked to**
  - **Firm characteristics**
  - **Demand**
  - **Information**
  - **Context**

- **Sources have different characteristics and 'role' in the financial system**
  - **Institutional and informal venture capital**
  - **Crowdfunding**
  - **Bootstrapping**
  - **Banks, soft money**

# So far today: resources for nvc

- Creativity – need, triggers, barriers
- Funding – sources, basic problems, implications for entrepreneurs

- ***Now*: Exercise related to lectures 2, 4, on characteristics of entrepreneurs, entrepreneurial processes etc.**
- **Exercise is described separately at Moodle, and here**

The **purpose** of the exercise is basically to use available data to confront our ‘theoretical’ propositions on what are entrepreneurs’ motivation, background, entrepreneurial processes etc. on actual data on this!

Individually or in groups.

Now or later this day/week.

Jesper available for consultation now.

Re-cap on the data to be used = GEM data

## GEM Research and data – the survey part

- Extensive Adult Population Surveys: A minimum of 2,000 adults were selected in each country for a random sampling survey using a common survey guide. Use of a mix of face-to-face or telephone interviews, in cases and increasingly supplemented by online participation
  - ✓ The results of the analysis are drawn from the responses of the working age group (18 to 64 years old).
  - ✓ In 2024 a total of 150.000 individuals in 51 countries were surveyed by GEM. (now not done in Denmark!)
  - ✓ Different to other statistics: "APS captures the attitudes, behaviours and expectations of individual adults, which makes it very different from surveys of businesses and firms, and different from official government statistics such as business registrations. This is important because the APS data provide insight into the individual decision to start or continue a business, and the entrepreneurial journey from intentions through to business conception, and business birth.." GEM, 2021, p.21

# One of the variables in GEM is Total early-stage Entrepreneurial Activity (TEA)

The TEA rate is the proportion (%) of the adult population in a country who are either actively engaged in starting a new business (the nascent entrepreneur) or owning and managing a new business (the new business owner), minus any who are doing both (to avoid double counting).

But a number of other variables are available. E.g. 'Fear of failure'

You can link country/region – year – APS variable

***Adult Population Survey (APS) looks at the characteristics, motivations and ambitions of individuals starting businesses, as well as social attitudes towards entrepreneurship***

# Your task!

Go to the data = https://www.gemconsortium.org/data/key-aps

*(= 'data' -> 'custom data tables'. These parts of the data are producing tables. In a semester project you'd also need the micro-data)*

- Spend a little time to re-cap some of the discussions we've had on what are entrepreneurial characteristics, motivations and aspirations
  - Example = necessity-/opportunity based-entr; other propositions – your own…
- See if you can test if they hold in practice – does the GEM data support the proposition you've learned and chosen from the literature?
- Note that not all countries participate in all years
- Look for interesting stories -

- Write down the hypothesis/correlation that you are trying to investigate.
- Reproduce the table/numbers you found
- Write a few lines on the results:  confirmed? Not? Why? What are possible explanations to results?
- Test a few, 1-3 hypotheses.